# Captive customers and the Entergy rate case

*A one-page summary from a Montgomery County constituent, District 86. October 2026.*

## The situation

- **Residents cannot choose their electric provider.** The state grants each utility an exclusive territory, so a Montgomery County household cannot shop for power.
- **Entergy's rate case, APSC Docket 26-001-U,** goes to its evidentiary hearing **November 4–5, 2026**.
  - Entergy proposes moving the residential customer charge from **$8.40 to $12.92 a month**, about a 54% jump, which hits low-usage households hardest.
  - It also proposes rolling about **$650 million a year** in rider revenue into permanent base rates.
  - Entergy puts the average residential impact at **$1.16 a month**. The Arkansas Advanced Energy Association's independent math puts the residential increase near **4.9%**.
- **The state closed fiscal year 2026 with a $655 million general-revenue surplus,** the fifth largest in its history. All of it went into the General Revenue Allotment Reserve.

## The problem

A storm, a tornado in another county, or a fuel-price spike is a shared, temporary event. It reaches each household as a personal charge, even though the household did not use more power and was not allowed to leave the territory. Once a temporary rider is moved into base rates, it stays there.

## Two asks

**1. In the rate case, now:** do not roll temporary riders into permanent base rates without a sunset, and scrutinize the customer-charge increase.

**2. For the 2027 session: a Residential Rate Stabilization Fund.**

- Funded from general-revenue surplus, capped, and published every month in plain language.
- It covers **temporary event costs only**: fuel and purchased-power spikes, storm and disaster restoration, and other one-time costs of a single event.
- It does **not** cover new power plants, base-rate changes, or the utility's return.
- **Order of payment:**
  1. the fund;
  2. the utility's own reserve, with no extra charge to households that used less than their average;
  3. the fund's interest;
  4. only then a small statewide remainder.
- A hard cap limits how much any monthly bill can rise from a surprise.

**Why it is keyed to temporary costs:** a 2010–2026 analysis of Arkansas residential prices found that a fund triggered by *any* bill increase mostly delays it. 86–92% of its dollars went to increases still present two years later. Keyed to costs that go away, it works as a real shock absorber. Sizing it needs the Commission's own fuel-adjustment history.

**The estimated cost is small.** Covering Entergy's average $1.16 a month across about 738,000 residential customers would cost roughly **$10 million a year**, about 1.6% of the FY2026 surplus. The ask is not mainly about the money. It is that the state, which created the captive pool, stands in front of a temporary shock before the household does.

*Draft model bill text and the supporting analysis are available on request.*